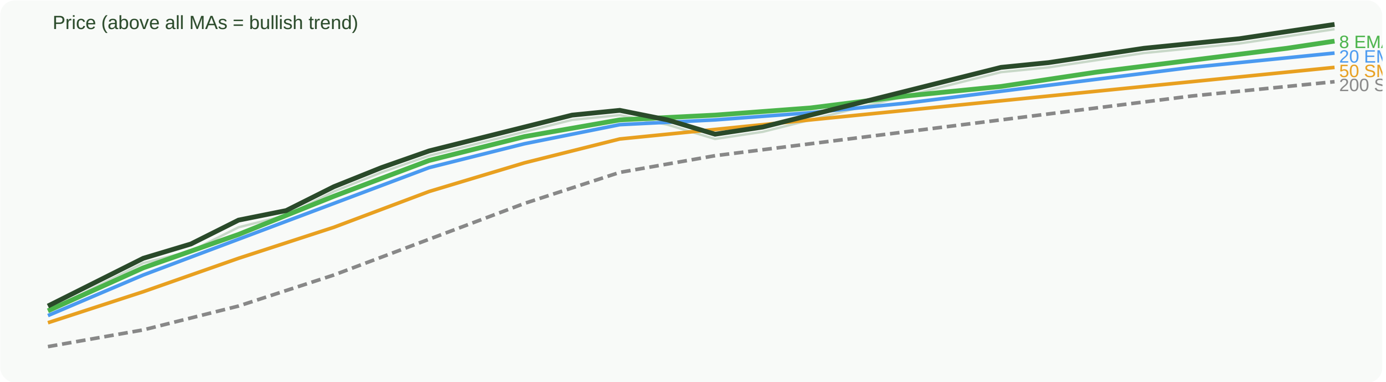
This cheat sheet provides the standard settings, signal interpretations, and confluence rules for the indicators used most frequently in active trading. These tools do not predict the future — they provide context for price action. Used correctly and in combination, they significantly improve the quality of trading decisions.

MOVING AVERAGES ON A PRICE CHART — VISUAL REFERENCE



MOVING AVERAGES

Standard Settings and Signal Interpretation

8 EMA: short-term momentum filter. 20 EMA: medium-term trend and first pullback target. 50 SMA: intermediate-term trend support and resistance. 200 SMA: long-term trend direction. Price above all four = strongly bullish environment. Price below all four = strongly bearish environment. The 8 and 20 EMA are most useful for intraday trading. The 50 and 200 SMA matter most for swing traders.

VWAP

Volume Weighted Average Price — Daily Reset

VWAP calculates the average price of all transactions weighted by volume, resetting at the start of each session. Price above VWAP = buyers in control for the day. Price below = sellers in control. VWAP acts as a magnet — stocks that move far from it tend to revert back. Institutions use VWAP as a benchmark, which is why it functions as such a consistent intraday support and resistance level.

RSI — 14-PERIOD

Relative Strength Index Interpretation

RSI measures momentum on a scale of 0 to 100. Above 70 = overbought zone — use caution, not a sell signal alone; strong trends can remain overbought for extended periods. Below 30 = oversold — watch for reversal signals, but do not buy just because RSI is low. RSI divergence is the most powerful signal: price makes a new high but RSI makes a lower high — momentum is weakening before price shows it.

MACD — 12, 26, 9

Moving Average Convergence Divergence Interpretation

MACD measures the relationship between two moving averages. MACD line crossing above signal line = bullish momentum shift. MACD crossing below = bearish momentum shift. Histogram bars growing larger = momentum accelerating. Histogram bars shrinking = momentum fading and possible reversal approaching. Most useful on daily charts for swing trade confirmation.

COMPLETE INDICATOR QUICK REFERENCE

INDICATOR	SETTING	BULLISH SIGNAL	BEARISH SIGNAL	BIGGEST MISTAKE
8 EMA	8-period EMA	Price bounces off 8 EMA upward	Price rejected by 8 EMA downward	Using as signal alone without trend context
20 EMA	20-period EMA	Pullback holds 20 EMA — trend intact	Stock loses 20 EMA on close	Buying every 20 EMA touch regardless of trend
50 SMA	50-period SMA	Stock reclaims 50 SMA on volume	Stock loses 50 SMA on volume	Treating 50 SMA as support in a downtrend
200 SMA	200-period SMA	Price holds above 200 SMA	Price breaks below 200 SMA	Ignoring 200 SMA as a major inflection level
VWAP	Daily auto-reset	Price holds above VWAP after test	Price rejected at VWAP on attempt	Buying below VWAP in a downtrending stock
RSI	14-period	Oversold + reversal candle	Overbought + reversal candle	Selling just because RSI is above 70 in strong trend
MACD	12, 26, 9	MACD crosses above signal line	MACD crosses below signal line	Using crossovers as entries without price confirmation
Volume	vs 20-day avg	High RVOL on up move or breakout	High RVOL on down move or breakdown	Trusting any breakout that occurs on below-average volume

INDICATOR CONFLUENCE — HIGH-PROBABILITY SIGNAL COMBINATIONS

MARKET SITUATION	INDICATORS ALIGNING	WHAT IT MEANS	TRADE IMPLICATION
Strong bullish setup	Price above all EMAs + above VWAP + MACD bullish + high RVOL	Multiple timeframes and momentum indicators agree	High-conviction long — look for entry on first pullback
Potential long entry	Price at 20 EMA + at VWAP + RSI oversold + volume contracting on dip	Multiple support levels coinciding with momentum reset	Strong pullback entry in uptrend with tight stop below levels
Exhaustion warning	Price at resistance + RSI overbought + MACD histogram shrinking + declining volume	Momentum failing at a key level	Take partial profits — trail stop on remaining position
Strong bearish setup	Price below all EMAs + below VWAP + MACD bearish + high RVOL on sell-off	Multiple timeframes and momentum indicators agree	Avoid longs — look for short entries on bounces to VWAP
Breakout confirmation	Price breaks key level + RVOL 2x+ + MACD bullish cross + RSI rising	All major confirmation signals present	Highest-confidence breakout trade — full position size justified

THE INDICATOR HIERARCHY

→ Price action is always primary. Indicators are secondary confirmation tools.

→ Never take a trade against what price is clearly doing because an indicator disagrees.

→ Two or more indicators agreeing is significantly more reliable than one indicator alone.

→ Indicators on the higher timeframe (daily) matter more than the lower timeframe (intraday).

→ Simpler is almost always better — the most consistently profitable traders use fewer indicators.

→ When indicators conflict with each other, default to price action and wait for clarity.

TST CORE PRINCIPLE

Indicators are derived from price — they cannot tell you anything that price itself has not already told you first, just in a different format. Their real value is organizing price information into a form that is easier to act on consistently. Use them as a confirmation layer, not as a primary decision-making system.

Standard interpretations throughout. Context always matters. Full indicator curriculum at topstocktrading.com